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MEMORANDUM

TO: Catherine “Kit” Ashworth, Partner, Real Estate Practice Group Chair

FROM: Jordan Vickers, Associate

DATE: March 27, 2025

RE: Drafting Issues — Mortgage and Security Agreement, Calverley Heritage Bank / Palmetto Gateway Partners LLC, $14,750,000 Commercial Real Estate Loan (CHB CRE Loan No. 2025-CHS-0047), 520–534 King Street, Charleston, South Carolina 29403

CC: File

ENCLOSURE: Mortgage and Security Agreement (initial draft, 65 pages including Exhibits A–F)

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1. PURPOSE, SCOPE AND SUMMARY OF CONCLUSIONS

1.1 Purpose. This memorandum accompanies the initial draft of the Mortgage and Security Agreement (the "**Draft Mortgage**") for the captioned loan (the "**Loan**") and records (a) the issues identified in the source record before and during drafting, (b) the independent recomputation of every figure, date and ratio used in the Draft Mortgage, (c) the drafting decisions taken, including provisions added beyond the executed Term Sheet, and (d) the items that must be resolved or documented by the client before the Draft Mortgage is circulated to borrower's counsel or executed. It responds to your markup notes of March 18, 2025 and addresses each instruction item in turn.

1.2 Scope and standard. The record consists of the eight documents listed in Section 2. All statements of fact in this memorandum are cited to the source document and section. No fact has been assumed without labeling it; where the record is silent, the gap is identified rather than filled. All arithmetic has been recomputed from source components and not taken from any summary or prior calculation.

1.3 Summary of conclusions. The Draft Mortgage is in a form suitable for internal partner review. The instrument is not, however, ready to be sent to borrower's counsel in its present state, and the Loan should not close, until four matters are resolved:

(a) Loan sizing and credit approval. The file's own projections do not support a $14,750,000 loan at the stated terms. Even on the most favorable stabilized assumptions in the rent roll, projected net operating income ($622,772) produces a debt service coverage ratio of 0.55x on the post-interest-only amortizing debt service and 0.72x on interest-only debt service, against a required 1.25x. The appraisal's income approach likewise does not reconcile to its concluded values (implied capitalization rates of 1.86% as-is and 2.52% as-stabilized, against the 5.75%–6.50% range the appraiser identifies as market). The DSCR covenant in Article 12 will be breached at the first test date as a matter of arithmetic. A documented credit approval or exception is required before we finalize the covenant, the cure mechanism and the cash management provisions.

(b) Execution authority. Borrower's Operating Agreement requires the approval of Members holding at least 75% of the membership interests for any financing in excess of $1,000,000. Graydon Development Group LLC holds 72%. Mr. Graydon's signature alone, through GDG as Managing Member, is therefore not sufficient authority to execute the Mortgage and the other Loan Documents. Certified written consents of GDG plus at least one Passive Member (and ideally all three Members) must be obtained, and the title company will require the same evidence under Requirement 8 of the commitment.

(c) Single-purpose entity and Operating Agreement Amendment. The Operating Agreement contains none of the single-purpose entity provisions the Term Sheet requires (no independent manager, no

bankruptcy consent, no separateness covenants, no single-purpose purpose clause, no change-of-control restriction). The Draft Mortgage assumes the amendment is delivered as a closing condition and is executed by all three Members. Tidewater GP Holdings LLC's authority to bind Tidewater Opportunity Fund II LP, and Harborline Capital Advisors LLC's governing documents, are not in the record.

(d) Title to the Anson Lane strip and the SCDHEC land use restriction. The strip is insured as part of the fee estate on the face of the commitment but was conveyed by quitclaim deed only, and the title officer expressly reserves the right to charge an additional premium or limit coverage by endorsement. Affirmative coverage must be negotiated and confirmed before closing (see Section 5.1). The land use restriction on Lot 7 requires bespoke covenants, an event of default and reporting mechanics, which the Draft Mortgage contains in Articles 8 and 11 (see Section 5.2).

1.4 Format implications. The Draft Mortgage incorporates an absolute assignment of leases and rents (Article 4) rather than a separate instrument, as you directed; it contains a self-contained yield maintenance formula (Article 13) built on the Term Sheet rather than on the formulation in your notes, which I recommend against adopting as drafted (see Section 7.1); and it does not grant a power of sale (Section 14.4).

2. SOURCE INVENTORY AND METHODOLOGY

2.1 Inventory. The following documents were reviewed in full. No other documents were provided.

#	Document	Date	Prepared by	Principal use
1	Term Sheet — Commercial Real Estate Loan (executed, binding)	April 1, 2025	Calverley Heritage Bank / Borrower	Controlling business terms; basis for every substantive provision
2	Commitment for Title Insurance No. PT-2025-04-1178	Effective February 28, 2025	Prestige Title & Settlement Services LLC for Commonwealth National Title Underwriters Inc.	Legal description; Permitted Exceptions; requirements 1–12; closer's notes
3	Appraisal Summary Report (File PVS-2025-0214-CHS)	February 14, 2025	Pinnacle Valuation Services LLC	Values, occupancy, rent roll, market data
4	Phase I ESA Executive Summary, Report CLR-2025-0119	January 28, 2025	Clearfield Environmental Consulting LLC	CREC, SCDHEC NFA letter, land use restriction and vapor barrier
5	Redacted Summary of Amended and Restated Operating Agreement of Palmetto Gateway Partners LLC	Effective January 12, 2024; amended through March 1, 2025	Cartwright & Lyons LLP (borrower's counsel)	Authority, Major Decisions, SPE gaps, transfer restrictions
6	Rent Roll and Lease Abstracts (3 tabs: Summary; Lease Abstracts; Vacancy	Undated (current as of closing preparations)	Borrower's managing member	Leases, escalations, ROFR, estoppel/SNDA

#	Document	Date	Prepared by	Principal use
	Schedule)			obligations, NOI and DSCR projections
7	Renovation Budget and Draw Schedule (2 tabs: Budget Detail; Draw Schedule)	Undated	Borrower's managing member	Renovation Budget, holdback allocation, 14-month draw schedule
8	Internal memorandum — Markup Notes (Kit Ashworth to Jordan Vickers)	March 18, 2025	This firm	Drafting instructions

2.2 Documents referenced in the record but not provided. The executed GC Contract with Beaufort Builders Group LLC; the ALTA/NSPS survey by Cartwright Land Surveying LLC dated January 15, 2025 (referenced in the title commitment and the appraiser's assumptions); the unredacted Operating Agreement and the March 1, 2025 amendment; the full Phase I ESA report and appendices (only the executive summary is in the file); the SCDHEC file and No Further Action letter; the recorded land use restriction (Deed Book 1203, Page 89); the form of Guaranty, Completion Guaranty, Interest Shortfall Guaranty and Environmental Indemnity Agreement; Guarantor's personal financial statement; any City of Charleston encroachment license for the King Street balcony; the full appraisal report; and any loan committee approval or credit exception memorandum. Each is carried forward in Section 11.

2.3 Methodology. I extracted every figure, date and obligation from the record into an issue log with a source citation, recomputed the arithmetic independently (Section 9), drafted the instrument from the verified log, and then re-read the instrument against the log to confirm that (i) each Term Sheet requirement is implemented or expressly noted as not implemented, (ii) each defined term is used consistently, (iii) every internal cross-reference resolves (verified programmatically: 175 defined sections, no broken section or article references), and (iv) no figure in the instrument differs from the verified figure without a flagged explanation.

2.4 Character of the record. The record contains several internal contradictions that cannot be resolved on the documents: two occupancy figures, two rent figures per lease, two DSCR test dates, two flood map panel numbers, two registered agent names, three different interest-shortfall/amortization assumptions in the draw schedule and the vacancy schedule, and an appraisal whose income approach is irreconcilable with its value conclusion. In each case I have adopted the figure that the controlling document (the Term Sheet) or the more granular record supports, disclosed the conflict in the instrument where appropriate, and flagged the item here for your decision. I have not silently chosen a figure or invented a fact.

3. EXECUTIVE SUMMARY — TOP-RISK REGISTER

The following register is ordered by risk. Each item is developed in the section indicated. "Draft" indicates the treatment in the Draft Mortgage.

#	Issue	Severity	Source	Consequence if unresolved / draft treatment
1	Loan cannot service at stated terms: DSCR 0.55x (amortizing) / 0.72x (interest-only) against a 1.25x covenant; debt yield 4.22%	Critical	Term Sheet §§3.6, 3.9, 7.1; Rent Roll, Vacancy Schedule rows 21–39	Covenant breached at first test; near-certain default and foreclosure exposure; lender liability and credit-classification risk — **Draft:** §4.1; Draft Mortgage Art. 12 (incl. §12.6 cure)
2	Appraisal income approach irreconcilable with concluded values (implied cap rates 1.86% / 2.52%)	Critical	Appraisal §§1, 5.2, 6.2–6.3, 7	As-is LTV of 81.04% rests on an unsupported value; FIRREA/USPAP and closing condition (Term Sheet §12.1(d)) not satisfied — **Draft:** §4.2; open item 11.1
3	Execution authority: 75% Member approval required; GDG holds 72%	Critical	Operating Agreement §§3.1(e), 3.2(ii); Title Requirement 8	Mortgage not duly authorized; title company will not insure without evidence; enforceability challenge — **Draft:** §6.1; Draft Mortgage §5.1
4	SPE provisions absent from Operating Agreement (no independent manager, bankruptcy consent, separateness, single-purpose purpose)	Critical	Operating Agreement §§1.4, 3.1, 3.2, 8.1, 9.1; Term Sheet §10.1	Bankruptcy remoteness defeated; SPE representations in Draft Mortgage untrue at closing — **Draft:** §6.2; Draft Mortgage §§6.12, 7.6
5	Anson Lane strip conveyed by quitclaim deed; title reserves right to premium/endorsement limitation	High	Title Schedule A §3; "Vesting chain" note 2; Closer's note 3	Gap in collateral; loss of the rear access strip could impair site access — **Draft:** §5.1; Draft Mortgage §5.3 (representation)
6	SCDHEC land use restriction: no residential use of Lot 7 ground floor; vapor barrier maintenance and periodic inspection	High	Title Exception 4 and Closer's note 1; Phase I ESA §§5.3, 6(d)	Regulatory reopening, remediation cost, lender liability; renovation scope may breach the LUR — **Draft:** §5.2; Draft Mortgage Arts. 8.13, 11
7	Tenant estoppels and SNDAs are closing conditions but the Lowcountry Provisions lease contains no estoppel, SNDA or assignment provision	High	Term Sheet §§2.3, 12.1(j)–(k); Rent Roll, Lease Abstracts (Bay 1)	Condition precedent cannot be compelled; rents assignment enforcement contested; SNDA coverage gap — **Draft:** §5.4; Draft Mortgage §§4.4, 6.7(c)
8	Sources and uses do not balance: $12.5M initial advance plus $6.2M equity equals purchase plus renovation exactly, leaving closing costs and the $150,000 TI/LC reserve unfunded	High	Term Sheet §§3.3, 3.4, 6.3, 13; Rent Roll; Renovation Budget	Funding shortfall at closing of approximately $450,000–$600,000; closing delay — **Draft:** §4.4
9	Draw schedule ignores the 10% retainage and overruns the budget by $5,000	High	Term Sheet §8.4; Draw Schedule rows 2–16	Holdback exhausted before completion; no retention security for punch list — **Draft:** §8.1, §8.2; Draft Mortgage §§8.4, 8.6, 8.15
10	Renovation Holdback of $2,250,000 against a $3,150,000 budget with a GC contract of $2,850,000	Medium	Term Sheet §§3.3, 8.2; Renovation Budget	Borrower must fund $900,000 of renovation plus all overruns; unfunded equity risk — **Draft:** §8.2; Draft Mortgage §8.3
11	Yield maintenance formula	Medium	Term Sheet §4.2;	Unenforceable as a penalty if

#	Issue	Severity	Source	Consequence if unresolved / draft treatment
	ambiguous in the Term Sheet; the formulation in your notes departs from it		markup notes §5	indeterminate; premium understated by at least the 1% floor — **Draft:** §7.1; Draft Mortgage §13.2
12	DSCR test date conflict: Term Sheet §7.1 (quarter ending June 30, 2027) vs. your notes and the rent roll (April 15, 2027)	Medium	Term Sheet §7.1; Rent Roll, Summary tab	Covenant measured on the wrong quarter; dispute at first test — **Draft:** §7.4; Draft Mortgage §12.1
13	Indirect and upstream transfers unrestricted; Tidewater's GP may direct transfers to an undefined "successor fund"	Medium	Operating Agreement §§4.1, 4.2(c), 4.5; Term Sheet §10.3	Change of control outside lender consent; recourse carve-out untriggered — **Draft:** §6.4; Draft Mortgage §7.3(c)
14	Interest-rate mechanics incomplete: no day-count, no SOFR compounding convention, no rate cap requirement	Medium	Term Sheet §3.6	Disputed accrual; unpriced floating-rate risk on a loan that cannot service at current rates — **Draft:** §7.7; Draft Mortgage §2.2
15	Balcony encroachment over the King Street right-of-way; no license in the file; façade budget includes balcony repair	Medium	Title Exception 5 and Closer's note 2; Appraisal §2.1; Renovation Budget line 3	Municipal removal risk; unbudgeted façade cost; title exception remains — **Draft:** §5.3; Draft Mortgage §§5.14, 6.5, 8.7
16	Guaranty set and characterization inconsistent (one "Guaranty Agreement" in §14.3(e) vs. three guaranties in §5.5; "full recourse personal guaranty" vs. non-recourse structure)	Medium	Term Sheet §§5.5, 14.3(e)	Document set mismatch; argument over recourse scope — **Draft:** §7.8; Draft Mortgage Art. 16
17	Default mechanics gaps: late charge triggers at day 10 but payment default cures at 5 business days; insurance defaults have no stated cure period	Low	Term Sheet §§3.11, 11.1(f), 11.2	Ambiguous default timing; inconsistent notice practice — **Draft:** §7.6; Draft Mortgage §§2.6, 14.2
18	Occupancy and in-place rent figures irreconcilable (68% / 21,400 SF vs. 56.13% / 17,400 SF; $415,100 vs. $422,985)	Medium	Term Sheet §2.3; Appraisal §§1, 3.1; Rent Roll Summary tab	Misstated exhibits; lease-up and DSCR assumptions overstated — **Draft:** §4.3, §9
19	Registered agent named inconsistently (Capitol Registered Agents Inc. vs. Statehouse Registered Agents, Inc.)	Low	Term Sheet §1.2; Operating Agreement §1.3	Service of process risk; certificate of good standing may not match — **Draft:** §6.5
20	Audited financial statements required by Term Sheet §7.3(a) but Operating Agreement requires only reviewed statements	Low	Term Sheet §7.3(a); Operating Agreement §6.2	Reporting default risk for a newly formed borrower — **Draft:** §6.5; Draft Mortgage §12.3

4. CREDIT CAPACITY, VALUATION AND LOAN SIZING

The four issues in this section are analytical rather than drafting points in the narrow sense, but they determine whether the covenant, reserve and cure architecture we have drafted can function. I have recomputed each figure from source components.

4.1 Debt service capacity and the DSCR covenant — recomputation.

Source components. Loan $14,750,000 (Term Sheet §3.1); interest rate Daily SOFR plus 285 basis points with a 3.00% SOFR floor, i.e. 5.85% at the floor (Term Sheet §3.6); interest-only for months 1–24, then 25-year amortization from May 15, 2027 (Term Sheet §3.9); DSCR covenant of 1.25x beginning after month 24 (Term Sheet §7.1); stabilized NOI of $622,772 on the borrower's best-case projection (Rent Roll, Vacancy Schedule rows 8–18, being $755,549 gross revenue less $37,777 vacancy/credit loss less $95,000 net landlord expense burden).

Recomputation.

Metric	Amount	Basis
Annual interest during interest-only period	$862,875	$14,750,000 × 5.85% (the rent roll shows $863,375 — a $500 rounding error in the file)
Monthly payment, 25-year amortization at 5.85%	$93,686.61	Standard amortization formula, 300 periods
Annual debt service after the interest-only period	$1,124,239	$93,686.61 × 12 (the rent roll shows $1,122,000 — understated by $2,239)
DSCR on amortizing debt service	**0.55x**	$622,772 ÷ $1,124,239
DSCR on interest-only debt service	**0.72x**	$622,772 ÷ $862,875
NOI required to meet 1.25x on amortizing debt service	**$1,405,299**	$1,124,239 × 1.25
NOI required to meet 1.25x on interest-only debt service	**$1,078,594**	$862,875 × 1.25
Shortfall against the amortizing requirement	$782,527 (125.6%)	$1,405,299 − $622,772
Debt yield	**4.22%**	$622,772 ÷ $14,750,000
Loan size supported at 1.25x DSCR (25-year amortization, 5.85%)	≈ **$6,536,000**	$622,772 ÷ 1.25 ÷ 0.0762196
Loan size supported at a 9.0% debt yield	≈ **$6,920,000**	$622,772 ÷ 0.09

Conclusion. On the file's own numbers the Loan is approximately twice the size that the Property's income supports. The interest due during the interest-only period ($862,875) exceeds the Property's projected gross revenue at stabilized occupancy ($755,549). The Vacancy Schedule states the same conclusion in terms (row 25: "DOES NOT MEET 1.25x COVENANT"; row 39: "DSCR compliance at month 24 is at significant risk regardless of lease-up pace"). The Term Sheet's own requirement for an Interest Shortfall Guaranty covering the first fourteen months after closing (Term Sheet §5.5(c)) is consistent with — and corroborates — the proposition that the parties expect the Property not to cover debt service during the renovation and lease-up period.

Options, for your discussion with Marcus Prideaux. (i) Reduce the loan amount to a supportable level; (ii) lengthen the interest-only period to or beyond the first DSCR test date and reset the covenant (the Term Sheet already ends interest-only at month 24, one month before amortization begins in the same window in which the covenant is first tested); (iii) retain the loan amount but require a DSCR cure deposit, a cash-management sweep at a sub-1.10x trigger and an extension of the Interest Shortfall Guaranty through at least the first test date; (iv) treat the DSCR covenant as a placeholder and obtain a documented credit exception. What we should not do is paper the covenant as drafted and say nothing: a covenant that fails on the closing-date projections is either a default trigger from day one or evidence that the covenant was not intended to be enforced, and neither posture serves the Bank well in a workout. **Draft:** Article 12 implements the covenant precisely (Section 12.1), defines Net Operating Income and Annual Debt Service (Section 1.1), and adds a limited DSCR cure right (Section 12.6) — the Term Sheet's "without cure" language in §11.1(i) presupposes a cure mechanic that the Term Sheet never supplies. The cure mechanic is our construct and requires your approval (Section 10).

4.2 The appraisal does not reconcile to its own income approach.

Appraisal input	Figure	Source
Concluded as-is value	$18,200,000	Appraisal §1, §6.2, §7
Concluded as-stabilized value	$23,500,000	Appraisal §1, §6.3, §7
Selected going-in capitalization rate (as-is)	6.25%	Appraisal §6.2
Selected capitalization rate (as-stabilized)	5.85%	Appraisal §6.3
Stated as-is NOI	$332,000–$345,000	Appraisal §6.2
Stated stabilized NOI	$582,000–$592,000	Appraisal §6.3

Recomputation. A 6.25% capitalization rate applied to NOI of $332,000–$345,000 indicates a value of **$5,312,000–$5,520,000**, not $18,200,000. A 5.85% rate applied to stabilized NOI of $582,000–$592,000 indicates a value of **$9,948,718–$10,119,658**, not $23,500,000. Put the other way, the concluded values imply NOI of **$1,137,500** (as-is) and **$1,374,750** (as-stabilized) — between 2.3 and 3.4 times the NOI the appraiser reports. The implied capitalization rates on the reported NOI are **1.86%** (as-is) and **2.52%** (as-stabilized), both far outside the 5.75%–6.50% range the appraiser says is market (Appraisal §4).

Consequence. The as-is loan-to-value ratio of 81.04% (Term Sheet §3.5; Appraisal §7) — and the Bank's reliance on it — rests on a value conclusion that its own income approach does not support. Either the NOI figures or the value conclusions are wrong; the discrepancy is not a rounding matter. Term Sheet §12.1(d) makes receipt of a satisfactory appraisal "supporting the as-is and as-stabilized values set forth in Section 2.4" a condition precedent to closing, and the appraisal must conform to USPAP and FIRREA. **Recommendation:** return the report to Pinnacle Valuation Services for correction or a written reconciliation of the income approach to the concluded values, and obtain an independent review appraisal under the Bank's appraisal policy before closing. This is also the answer to the

question you raised with Marcus about whether the as-is LTV "runs a little hot": at 81.04% it is well above customary CRE leverage, and 82.87% of the purchase price ($14,750,000 ÷ $17,800,000), and on the appraiser's own income figures the ratio would exceed 100%.

4.3 Occupancy and in-place rent — three conflicting sets of figures.

Item	Term Sheet §2.3	Appraisal §§1, 3.1	Rent Roll (Summary tab)	Recomputation
Occupied area	21,400 SF	21,400 SF	17,400 SF	3,800 + 3,800 + 9,800 = **17,400 SF**
Occupancy rate	68%	68%	56.13%	17,400 ÷ 31,000 = **56.13%** (21,400 ÷ 31,000 = 69.03%, so 21,400 and 68% are also inconsistent with each other)
Vacant area	13,600 SF (43.9%)	32%	13,600 SF (43.87%)	13,600 ÷ 31,000 = **43.87%** — note 68% plus 43.9% equals 111.9%
Total in-place annual rent	$415,100	$415,100	$415,100	Sum of the three leases at stated rents = **$415,100**
Weighted average rent	not stated	$19.40/SF	$23.86/SF	$415,100 ÷ 17,400 = **$23.86/SF** ($415,100 ÷ 21,400 = $19.40/SF, which confirms the appraisal used the erroneous 21,400 SF)

The Term Sheet's §2.3 contradictory within itself: it states occupancy of "approximately sixty-eight percent (68%)" and, three sentences later, that vacant space totals 13,600 square feet "or approximately 43.9% of total building area." Both statements cannot be true. The correct figures are 17,400 SF occupied, 56.13%.

Separate but related: the rents. The Rent Roll's Summary and Lease Abstracts tabs state the "current" base rents as $28.50/SF (Bay 1), $24.00/SF (Bay 3) and $22.00/SF (Suite A), totaling $415,100. The same tabs' escalation schedules show Bay 1 escalating 3% annually "beginning January 1, 2025" (i.e. $29.355/SF, $111,549 per annum) and Bay 3 escalating 2.5% annually "beginning July 1, 2023" (i.e. $25.215/SF, $95,817–$95,836 per annum depending on rounding). The Vacancy Schedule in fact uses $111,549 for Bay 1. The rent actually payable as of an April 15, 2025 closing, applying the contractual escalations, is therefore approximately **$422,985**, not $415,100 — a difference of $7,885 per annum that flows directly into the DSCR calculation. **Draft:** Exhibit B to the Draft Mortgage reports the lease-stated rents of $415,100 (as the record's certified rent roll) and Note 10 to Exhibit B discloses the escalation conflict, states the escalated total of $422,985, and requires Borrower to certify the conformed rent roll on or before closing. The Section 5.4 representation must not be made against a rent roll that the borrower's own document contradicts.

4.4 Sources and uses — the closing costs are unfunded.

Use of funds	Amount	Source
Purchase price	$17,800,000	Term Sheet §§3.2, 3.4
Renovation Budget	$3,150,000	Term Sheet §3.4; Renovation Budget
Total Project Cost (as defined)	**$20,950,000**	Term Sheet §3.4

Source of funds	Amount	Source
Loan (Initial Advance $12,500,000 + Renovation Holdback $2,250,000)	$14,750,000	Term Sheet §3.3
Borrower Equity Contribution	$6,200,000	Term Sheet §3.4
Total	**$20,950,000**	

The sources equal the uses exactly — which is the problem. The Total Project Cost as defined excludes (i) closing costs that Term Sheet §13.2 requires Borrower to pay, including the origination fee of $147,500 (Term Sheet §13.1), South Carolina mortgage recording tax of $54,575 (0.37% of $14,750,000, as you computed), title premiums, survey, appraisal, environmental and legal fees, and UCC filing and search fees; (ii) the $150,000 TI/LC Reserve required to be deposited at closing (Term Sheet §6.3); and (iii) any initial deposit into the tax and insurance escrow (Term Sheet §6.1). At closing, the Initial Advance of $12,500,000 plus the $6,200,000 equity contribution produces $18,700,000 against a purchase price of $17,800,000, leaving exactly $900,000 — which is precisely the Renovation Equity that the Draw Schedule deploys over fourteen months (Renovation Budget, Budget Detail row 9; Draw Schedule column S). On these numbers there is no source for closing costs and no source for the TI/LC Reserve. The gap is approximately **$450,000–$600,000** depending on title premium and escrow deposits (my estimate, to be confirmed from the closing/settlement statement). **Recommendation:** require an updated sources-and-uses statement and evidence of additional Borrower equity before closing; add the TI/LC Reserve funding to the closing conditions; and confirm with Prestige Title the recording fee and mortgage tax computation (Term Sheet §13.2(f)).

4.5 Underwriting ratios — recomputed.

Ratio	Stated	Recomputed	Comment
Loan-to-value, as-is	81% (Term Sheet §3.5); 81.04% (Appraisal §7)	81.04%	Arithmetically correct; the denominator is the problem (§4.2)
Loan-to-value, as-stabilized	62.77%	62.77%	Correct arithmetic; depends on a hypothetical condition (§4.2)
Loan-to-cost	70.41%	70.41%	Correct; but the cost base omits closing costs (§4.4)
Loan-to-purchase-price	not stated	**82.87%**	$14,750,000 ÷ $17,800,000
Borrower equity as % of Total Project Cost	29.6%	29.59%	Correct as against the defined total; overstated against a total that includes closing costs
Debt yield	not stated	**4.22%**	$622,772 ÷ $14,750,000

Ratio	Stated	Recomputed	Comment
DSCR (amortizing / interest-only)	not stated	**0.55x / 0.72x**	§4.1

5. TITLE, SURVEY AND COLLATERAL ISSUES

5.1 The Anson Lane strip — quitclaim vesting (your item 2). You asked three questions. Answering them on the face of the commitment:

> **(1) Is the strip insured without a carve-out?** Yes, on the face of the commitment. Schedule A, Section 4 describes Parcel Two as part of the land and Section 3 confirms fee simple vesting in Hampstead Village Holdings LLC as to both parcels; Schedule B, Part II contains no exception that excepts the strip, reduces the estate to less than fee simple, or qualifies the strip's coverage. The general exceptions (a)–(e) are the printed standard exceptions, which are committed to be removed upon delivery of the survey, affidavits, gap indemnity and lien waivers (Schedule B, Part II, Exception 1; Requirements 9, 10 and 12).
>
> **(2) Is the vesting chain complete?** On the title company's examination, yes: Quitclaim Deed from the City of Charleston dated February 28, 2019, recorded March 22, 2019, in Deed Book 1128 at Page 443, pursuant to Ordinance No. 2019-084. But the title officer expressly qualifies this: "This parcel was conveyed by Quitclaim Deed only … no warranties of title were provided … The Company's willingness to insure title to this parcel … should not be construed as a representation that the chain of title for this parcel is equivalent to that of Parcel One" (Vesting Chain Notes, item 2).
>
> **(3) Should we request an endorsement?** Yes, but note two points. First, the endorsement the title officer recommends is an ALTA 34 (Identified Exception) or other affirmative coverage specific to the parcel (Closer's Note 3), not the ALTA 9 you mentioned in your notes; ALTA 9 covers restrictions, encroachments and mineral rights and does not address quitclaim vesting. Second, the title officer reserves the right to require an additional premium for extended coverage and/or to limit coverage by endorsement on this parcel (Closer's Note 3). We should obtain written confirmation, before closing, of the precise form of affirmative coverage, the premium, and that no endorsement will limit the amount of insurance as to the strip.

Why it matters. The strip runs along the rear (northwest) boundary of Lots 7, 8 and 9 and provides rear access and loading for the building (Phase I ESA §2, "Physical Description of Lots"; Appraisal §2.1). Loss of, or a dispute over, the strip would impair vehicular and pedestrian access and the approved site plan — the concern you flagged. **Draft:** Section 5.3 of the Draft Mortgage contains a specific representation addressed to the quitclaim conveyance and to Borrower's title to the strip; Section 3.1(a) describes Parcel Two in the granting clause with both the ordinance and the deed references; Exhibit A carries both parcels and the Cartwright plat reference. The post-closing covenant to defend title (Section 6.15) applies to the whole Property, including the strip.

5.2 The SCDHEC land use restriction and the controlled recognized environmental condition.

Facts. Historical dry-cleaning operations at the adjoining 518 King Street (1968–2005) released perchloroethylene and petroleum solvents that migrated to the southwest corner of Lot 7. Remediation was completed under SCDHEC oversight; SCDHEC issued a No Further Action letter dated August 12, 2021 for Site ID SC-29403-0772, subject to institutional controls. The land use restriction recorded in Deed Book 1203 at Page 89 (i) prohibits residential use of the ground floor of Lot 7 (Bay 1, 520 King Street) and (ii) requires maintenance and periodic inspection of the vapor barrier beneath the Bay 1 slab, with SCDHEC approval required before any penetration (Phase I ESA §§5.1–5.3; Title Exception 4). The appraiser applied no value reduction (Appraisal §5).

Issues. (a) The restriction runs with the land and cannot be removed without SCDHEC approval (Title Closer's Note 1). (b) The No Further Action status is contingent on continued compliance; a breach can result in the site being reopened at the owner's expense (Phase I ESA §5.2). (c) The renovation program is directly implicated: HVAC replacement, elevator modernization and façade restoration are all in the budget, and any work affecting the Bay 1 slab requires prior written notice to SCDHEC, a vapor barrier protection plan, and post-work inspection and repair (Phase I ESA §5.3; §6(c)–(d)). The budget contains no line item for vapor barrier protection or SCDHEC coordination, and the Draw Schedule assumes HVAC work in months 2–9 without any environmental gate.

Draft treatment. Article 11 contains the bespoke covenant package: compliance with the LUR and all Environmental Laws (§11.1), the specific obligations not to use the Lot 7 ground floor for residential purposes, to maintain the vapor barrier, not to penetrate it without SCDHEC approval and Lender consent, to conduct annual (or more frequent) inspections, to deliver an annual compliance certificate in the form of **Exhibit F**, and not to modify, terminate or seek the release of the LUR (§11.2); notice before any work affecting the Bay 1 slab (§11.3); full recourse under the Environmental Indemnity Agreement (§11.4); Lender's right to cure (§11.5); and an Event of Default for any breach or any modification, termination or violation of the LUR (§14.1(l)), with a limited cure period (§14.2(e)). Article 8 adds a draw condition requiring SCDHEC notice, a vapor barrier protection plan and professional certification before any disbursement for work within ten feet of the Bay 1 slab (§8.5(h)), and the coordination covenant at §8.13. This implements Title Closer's Note 1 (which asks for a specific default trigger), Phase I ESA §6(d) (which asks for a continuing compliance covenant and consequences of breach), and Requirement 6 of the commitment (which requires the Environmental Indemnity Agreement to address the vapor barrier and SCDHEC compliance specifically). **Action:** confirm that the Environmental Indemnity Agreement, as issued by the Bank, contains the Requirement 6 language; the draft Mortgage assumes that it does (§11.4). Also confirm the inspection interval the Bank wants (the LUR is described only as requiring "periodic inspection"; the draft uses annual).

5.3 Balcony encroachment over the King Street right-of-way.

Facts. A decorative iron balcony projects approximately 2.5 feet over the King Street right-of-way (Title Exception 5; Appraisal §2.1). The title company makes no representation as to any permit, license or encroachment agreement, recommends an ALTA 28.1 (or equivalent) endorsement if coverage is wanted, and advises that evidence of a valid encroachment permit be obtained and reviewed before closing (Title Exception 5; Closer's Note 2). The appraiser treats it as minor but notes that any City-mandated removal could affect the historic façade and require work beyond the current budget (Appraisal §§2.1, 2.2). The façade restoration line item of $625,000 expressly includes "decorative ironwork repair (including King Street balcony)" (Renovation Budget, Budget Detail line 3) and is subject to Board of Architectural Review oversight.

Issues. (i) The encroachment remains a title exception unless affirmative coverage is obtained; (ii) there is no encroachment license in the record, so the City's position is unknown; (iii) the renovation scope touches the balcony, which may require the City to confirm or condition the license, and removal (if required) is an unbudgeted cost; (iv) a municipal removal order would not be a taking and would not produce condemnation proceeds. **Draft:** Section 5.14 (representation disclosing the encroachment), Section 6.5 (compliance with permits and obligation to maintain the encroachment license), Section 8.7 (BAR approvals), and the Permitted Exceptions schedule (Exhibit C, item 4). **Action:** request evidence of the encroachment license now and make delivery of the license (or a written statement from the City that no license is required for the existing balcony) a closing condition. Consider also making the ALTA 28.1 endorsement a closing condition, since the Term Sheet §5.6 already requires "such endorsements as Lender may reasonably require."

5.4 Leases, estoppels, SNDAs and the Bay 2 right of first refusal.

Facts. Three leases are in place (Exhibit B to the Draft Mortgage; Rent Roll, Lease Abstracts):

- **Lowcountry Provisions Inc.** (Bay 1; 3,800 SF; NNN; expires December 31, 2027). The lease contains **no assignment or subletting provision**, **no estoppel certificate obligation** and **no subordination or SNDA provision**. The tenant holds an exclusive right to use as a specialty grocery within the Property. The abstract notes "Assignment/Subletting: No provision."

- **Harmon & Wren Design Studio LLC** (Bay 3; 3,800 SF; modified gross; expires June 30, 2026). Assignment requires consent not unreasonably withheld; estoppel within 15 business days of request; lease is subordinate to any mortgage **provided the mortgagee delivers a commercially reasonable non-disturbance agreement**. The tenant holds a **right of first refusal on Bay 2** (15 business day acceptance period) which survives renewal. A three-year renewal option requires notice by December 31, 2025. The lease's early termination right (effective June 30, 2025) required notice by December 31, 2024, which has passed, so the right has lapsed.

• **Tidemark Consulting Group LLC** (Suite A; 9,800 SF; NNN; expires March 31, 2029). Assignment requires consent which may be withheld in the landlord's sole discretion; estoppel within 10 business days; tenant agrees to execute an SNDA upon request.

Issues.

(a) Closing conditions depend on third parties. Term Sheet §§2.3 and 12.1(j)–(k) require estoppel certificates and SNDAs from all three tenants as conditions precedent. Two of the three leases obligate the tenant to deliver an estoppel on request (and Harmon & Wren's lease conditions its subordination on receipt of a commercially reasonable non-disturbance agreement), but the Lowcountry lease obligates the tenant to do neither. The condition can therefore only be satisfied with that tenant's voluntary cooperation. You are right that the Lowcountry estoppel should not be waived; the Draft Mortgage accordingly makes delivery of the estoppels a condition to the Initial Advance (Section 6.7(c)) and, because the tenant cannot be compelled, couples it with a commercially reasonable efforts covenant rather than an absolute obligation that Borrower would breach at closing. Note also that Requirement 11 of the title commitment requires delivery of tenant estoppel certificates from all tenants in occupancy as a condition to the **issuance of the policy**, so the same third-party dependency burdens the title condition as well as the loan conditions. **Action:** Marcus should be told that the Lowcountry estoppel and SNDA are outside Borrower's control and that the Bank's options are to waive or to delay closing.

(b) The Bank must decide whether it will give non-disturbance. Because the pre-existing leases are prior in time to the Mortgage, foreclosure will not extinguish them unless they are subordinated. Harmon & Wren's and Tidemark's leases subordinate only in exchange for a commercially reasonable non-disturbance agreement. The Lowcountry lease is silent, so its position on foreclosure is unresolved. The Draft Mortgage therefore (i) subordinates the leases to the Mortgage (§4.5), (ii) requires Borrower to use commercially reasonable efforts to deliver SNDAs (§4.4), and (iii) preserves Lender's discretion whether to deliver a non-disturbance agreement (§4.5).

(c) The Bay 2 right of first refusal affects the collateral and any foreclosure purchaser. The ROFR constrains lease-up of Bay 2 (the appraiser adds 60–90 days to the absorption timeline, Appraisal §§3.2, 6.3; the Vacancy Schedule notes the marketing constraint) and, if not subordinated, would bind a purchaser at foreclosure. Section 4.5 of the Draft Mortgage provides that any SNDA delivered by Lender may provide that purchase rights of this kind are not binding on Lender or a foreclosure purchaser. **Action:** obtain that provision in the Harmon & Wren SNDA; also confirm that the $550,000 TI allowance line covers the Bay 2 build-out notwithstanding the ROFR process.

(d) The assignment of rents and the Lowcountry lease. You are correct that, under the South Carolina Uniform Assignment of Rents Act, the assignment is enforceable against a tenant upon notification irrespective of the lease's silence on assignment. The Draft Mortgage implements this as an absolute and present assignment (Article 4), with the statutory basis identified, a revocable license to collect until default (§4.2), enforcement on default without court order or receiver (§4.3), tenant direction letters and estoppels (§4.4), and an express representation that Borrower has full right and authority to assign all rents, naming the Lowcountry lease (§5.4). **Verification required:** the citation you used (§ 29-3-100 et seq.) should be verified against the current Code before the instrument is recorded; the Draft Mortgage refers to the Act by name and to Title 29, Chapter 3 rather than to a specific section range, and we should confirm the statutory requirements (effectiveness on execution and recording, perfection by recording, enforcement upon default) in the research file.

5.5 Survey, legal description and Permitted Exceptions.

(a) No metes and bounds in the record. The Term Sheet's Exhibit A is a summary description by plat reference; the commitment's Schedule A describes Parcel One by plat reference and Parcel Two by ordinance, deed and the Cartwright plat (Plat Book 64, Page 91). The ALTA/NSPS survey itself is not in the file and is a closing requirement (Requirement 9; Term Sheet §12.1(e)). Exhibit A to the Draft Mortgage therefore carries the commitment description and the plat references, with a clearly bracketed instruction for the metes and bounds to be inserted from the certified survey. **This is the only substantive blank in the instrument** (Section 12). Do not record until it is conformed.

(b) Survey recertification timing. Requirement 9 requires a survey "dated or re-certified to a date not more than ninety (90) days prior to the date of closing." The survey is dated January 15, 2025. Ninety days later is April 15, 2025 — the anticipated closing date exactly. Any slippage in closing requires recertification, and the Term Sheet permits closing as late as May 15, 2025 (Term Sheet §14.5). Request recertification now.

(c) Permitted Exceptions require Lender's written approval. Neither the Term Sheet nor the commitment defines which Schedule B, Part II exceptions the Bank accepts. The Draft Mortgage defines "Permitted Exceptions" by reference to Lender's written approval and attaches **Exhibit C**, which lists the six specific exceptions and reserves item 7 for such further matters as Lender may approve. **Action:** obtain Marcus's written approval of Exhibit C before closing, and confirm that the standard exceptions (a)–(e) are deleted by endorsement as the commitment contemplates.

(d) Future advances and mechanics' lien priority. The Renovation Holdback is a future advance under a recorded mortgage. Section 3.4 of the Draft Mortgage contains the future-advance clause and a maximum

principal amount of $14,750,000; the Term Sheet requires a future advance endorsement (Term Sheet §5.6). During construction, the Bank's priority over subsequently recorded mechanics' liens depends on the future-advance endorsement and on the draw mechanics (date-down endorsements, lien waivers, retainage) — see Section 8.5 below.

(e) Tax parcels and the escrow. Three tax map numbers are identified, but the vacated Anson Lane strip has no separate tax map number in the record; it may be assessed within Lot 7 or separately. Term Sheet §6.1 requires the escrow to cover "all three tax parcels." **Action:** confirm from the tax certificates (Requirement 10) how the strip is assessed, and conform the escrow provision and Exhibit A accordingly.

6. ENTITY AUTHORITY AND SINGLE-PURPOSE ENTITY ISSUES

6.1 Execution authority — the 75% member approval requirement (critical).

Facts. The Operating Agreement vests the Managing Member with authority to execute "loan documents, promissory notes, deeds of trust, mortgages, security agreements, guaranties, and related instruments" (§3.1(e)), but §3.2 makes "any financing or refinancing of the Property in an amount in excess of $1,000,000" a "Major Decision" requiring the prior written approval of Members holding at least **seventy-five percent (75%)** of the outstanding membership interests. GDG holds **72%**; Tidewater 18%; Harborline 10%. The Operating Agreement summary expressly notes that "GDG alone cannot approve any Major Decision."

Consequence. A $14,750,000 mortgage is a Major Decision. GDG's signature — and therefore Mr. Graydon's signature as sole member and manager of GDG — is **not** sufficient authority to bind Borrower. At least one Passive Member must join (GDG plus Tidewater = 90%; GDG plus Harborline = 82%). Title Requirement 8(b) and 8(c) require satisfactory evidence of the authority of the persons executing the Mortgage and of GDG, and the title company will read the Operating Agreement. The legal opinion required by Term Sheet §12.1(h)(ii) (due authorization) cannot be given without it.

Draft. Section 5.1 of the Draft Mortgage contains an affirmative representation, in terms, that execution has been authorized by Members holding not less than 75% under Operating Agreement §3.2(ii). That representation must be true at signing. **Action (before execution):** obtain a written consent or resolution signed by GDG and at least one Passive Member (recommend all three, which also supports the Operating Agreement Amendment — see §6.2), certified as true and complete, together with the incumbency certificates.

6.2 Single-purpose entity provisions are absent and must be papered (critical).

Facts — what the Operating Agreement does contain and what it does not.

Requirement	Position under the Operating Agreement	Effect
Independent manager with bankruptcy consent	No provision; "does not impose any requirement for GDG to appoint or maintain an independent director, independent manager, or springing member" (§3.1)	GDG (i.e. Mr. Graydon) can file Borrower into bankruptcy unilaterally
Bankruptcy filing as a Major Decision	The Major Decisions list (§3.2) omits bankruptcy, insolvency or reorganization	No supermajority or third-party consent required
Separateness covenants	None; no prohibition on commingling, no requirement of separate accounts or records, no arms'-length requirement	Substantive consolidation risk destroys the non-recourse structure
Single-purpose purpose clause	Purpose is "…to acquire, own, hold, manage, lease, renovate, improve, operate, finance, refinance, and ultimately dispose of" the Property "and to engage in any and all activities necessary, incidental, or related thereto" (§1.4)	The catch-all is broad; the agreement "does not contain any language restricting the Company to single-purpose entity status"
Lender consent to dissolution	No provision; dissolution on 75% member consent or sale of the Property (§8.1)	Borrower can dissolve without Lender consent
Amendment of SPE provisions	Amendments require 75% member consent, plus each affected Member for changes to economic rights or capital obligations (§9.1); no lender consent requirement	SPE protections could be removed without Lender's knowledge
Change of control	No provision capturing indirect or upstream changes; §4.1 applies only to transfers of membership interests in Borrower (§4.2, note following)	See §6.4 below

One correction to your notes. Your markup describes the purpose clause as allowing "any lawful business." The Operating Agreement summary actually quotes a property-specific purpose clause with a broad incidental-activities catch-all (§1.4). The difference matters because the representation we draft must match the document: the Draft Mortgage's §7.6(b)(iii) requires an amended purpose clause restricting the business to the Property and incidental activities, and §5.10 makes the representation by reference to the Operating Agreement **as amended by the Operating Agreement Amendment**. I have deliberately not drafted a representation that the current agreement already complies, because it does not (see next paragraph).

Draft treatment. You asked that the SPE covenants be drafted as though the Operating Agreement already complies, with separate representations. I have taken a slightly different approach, for one reason: a representation that the organizational documents contain compliant SPE provisions would be knowingly false as of today, is an Event of Default and a recourse carve-out on day one, and would give the borrower's counsel an argument that we drafted around a known fact. Instead:

(a) Section 6.12 contains the full separateness and single-purpose covenant package, binding Borrower directly under the Mortgage (so it binds regardless of what the Operating Agreement says), including the Independent Manager approval requirement for bankruptcy filings, dissolution, merger or consolidation (§6.12(k));

(b) Section 7.6 defines the **Operating Agreement Amendment**, requires it to be executed by all three Members and effective not later than the Closing Date, specifies its contents (independent manager, separateness, single-purpose purpose clause, unanimity plus Lender consent for amendment of those provisions), and prohibits any amendment, modification or waiver of any single-purpose entity provision without Lender's consent in each instance (§7.6(a)–(b));

(c) Section 5.10 makes the representation that the organizational documents, **as amended by the Operating Agreement Amendment**, contain the required provisions, and that the amendment has been adopted; and

(d) Section 7.6(b) contains an express acknowledgment that the Operating Agreement did not contain these provisions as of the Term Sheet date, so that the record is honest and the amendment is a documented closing condition rather than a fiction.

Action (before closing): (i) circulate a form of Operating Agreement Amendment for Borrower's counsel (Cartwright & Lyons LLP); (ii) confirm that the 75% amendment threshold in §9.1 is sufficient — I read the SPE amendments as not altering economic rights or increasing capital obligations, so the §9.1 proviso requiring each affected Member's consent should not be triggered, but all three Members should sign in any event, which removes the question; (iii) confirm that Borrower's Articles of Organization and any registered-agent filings do not need conforming amendments.

6.3 Member consents and general partner authority.

(a) Tidewater. Tidewater Opportunity Fund II LP is a Delaware limited partnership whose general partner is Tidewater GP Holdings LLC, which "has the exclusive authority to manage and direct the affairs of Tidewater" (Operating Agreement §2.1). The limited partnership agreement is not in the record. Obtain either the relevant provisions of the LPA authorizing the execution of the Operating Agreement Amendment and member consents, or a GP authorization certificate/resolution. Term Sheet §12.1(g) requires Borrower's organizational documents but does not expressly pick up Member-level authority; add it to the closing checklist.

(b) Harborline. Harborline Capital Advisors LLC is a Delaware LLC whose "members and managers … have not been disclosed in this summary" (Operating Agreement §2.1). Obtain its organizational documents, good standing certificate and incumbency certificate.

(c) GDG. Mr. Graydon is GDG's sole member and manager and "exercises sole and exclusive control over GDG" (Operating Agreement §2.1). A certificate of GDG is sufficient.

6.4 Indirect transfers and change of control (your item 4). The Operating Agreement restricts only transfers of membership interests in Borrower (§4.1), and expressly does not "restrict or address changes in the internal or upstream ownership, management, or control of any Member entity." The summary gives three illustrations: Mr. Graydon could sell his interest in GDG (the 72% Managing Member) without triggering the transfer restrictions; Tidewater's GP could itself be acquired; and Harborline's internal ownership could change entirely. Worse, §4.2(c) permits Tidewater's GP to direct transfers of Tidewater's 18% interest to "any successor fund managed by Tidewater GP Holdings LLC or any Affiliate thereof" — an undefined term — without any other Member's consent.

Draft. Section 7.3 of the Draft Mortgage has three limbs: (a) transfers of the Property; (b) direct transfers of interests in Borrower exceeding 10% individually or 25% in the aggregate, with the Term Sheet's carve-out for transfers among existing Members (subject to notice, a written confirmation that the transferee is bound by the single-purpose entity covenants, and compliance with the Operating Agreement); and (c) **any change in Control of Borrower, GDG, Guarantor or any other Person that Controls Borrower**, by whatever means, including replacement or resignation of the Independent Manager. Limb (c) is an addition beyond Term Sheet §10.3, which addresses only direct transfers of interests in Borrower; it is flagged in Section 10 below for the Bank's approval. Note also a conflict we should resolve in the Operating Agreement Amendment: Term Sheet §10.3 permits transfers "among the existing members of Borrower" without consent, while Operating Agreement §4.1 requires consent of the Managing Member and 75% of the Members for any transfer — the lender's covenant cannot authorise what the operating agreement prohibits, so the amendment should align them.

6.5 Documentary inconsistencies requiring correction.

(a) Registered agent. Term Sheet §1.2 names "Capitol Registered Agents Inc." at 1201 Main Street, Suite 410, Columbia; Operating Agreement §1.3 names "Statehouse Registered Agents, Inc." at the same address. One is wrong. Because the Mortgage is recorded and may be served by substituted service, and because the certificate of good standing must match the registered agent of record, resolve before closing. The Draft Mortgage does not recite the registered agent (it is not a required recital), which avoids perpetuating the error in the instrument.

(b) Audited financial statements. Term Sheet §7.3(a) requires annual **audited** financial statements of Borrower within 120 days of fiscal year end. Operating Agreement §6.2 requires only **reviewed** statements. The Draft Mortgage implements the Term Sheet (§12.3(a)) and expressly notes the inconsistency and Borrower's obligation to comply (§12.3, final paragraph). Practical point: Borrower was formed on January 12, 2024, so its first audited fiscal year will be 2025, due by April 30, 2026. Consider

whether the Bank wants a reviewed stub for FY2024 and a covenant that accommodates the first audit cycle.

(c) Borrower's fiscal year and reporting. Calendar year (Operating Agreement §6.3). The reporting dates in the Draft Mortgage are drafted to the fiscal year end accordingly.

7. LOAN TERMS REQUIRING PRECISION

7.1 Yield maintenance (your item 5).

What the Term Sheet says. Section 4.2 provides for prepayment in whole (not in part) in months 25–48 on 30 days' notice, with a premium equal to the **greater of** (a) 1.00% of the outstanding principal balance, or (b) the present value of the excess of (i) interest that would have accrued on the prepaid principal at the Note rate for the period from prepayment through the end of the 48th month, over (ii) interest that would accrue at "the treasury rate plus fifty (50) basis points" for that period, "discounted to present value at the treasury rate."

What your notes propose. A formula in which the premium equals the positive excess of the present value of all remaining scheduled payments of principal and interest (discounted at the Treasury Rate) over the outstanding principal prepaid, "in no event less than zero."

Why I did not adopt the formulation in your notes as drafted. It departs from the executed Term Sheet in three respects, each of which favors the borrower:

(i) it omits the **1.00% floor**, which the Term Sheet makes part of a "greater of" test — under your formula a premium of zero is possible;

(ii) it computes the differential by reference to the **Note rate stream discounted at the Treasury Rate** and subtracts principal, rather than computing the **interest differential between the Note rate and the Treasury Rate plus 50 basis points**; the two approaches produce materially different numbers when the curve is steep, and the Term Sheet's construct is the bargained-for one; and

(iii) it leaves the "treasury rate + 50 bps" ambiguity unresolved, whereas the Term Sheet uses the spread in the comparison stream.

What the Draft Mortgage does. Section 13.2 implements the Term Sheet's "greater of" structure: (a) 1.00% of the principal prepaid; or (b) the present value, discounted at the Treasury Rate, of the excess of interest at the Note rate (after the SOFR floor) over interest at the Treasury Rate plus 50 basis points, for the period from prepayment to the last day of the Yield Maintenance Period, with monthly discounting, a proration convention for a mid-month prepayment, a floor of zero on the computed excess (the floor operates through the 1.00% minimum in clause (a), so the premium can never be less than 1.00%), and a conclusive-calculation clause. "Treasury Rate" is defined in Section 1.1(qq) as the H.15 yield, determined as of the second Business Day preceding prepayment, on the security maturing closest to but not exceeding the last day of the Yield Maintenance Period,

with linear interpolation if there is no exact match. The Yield Maintenance Period is defined as ending April 15, 2029 (month 48).

This resolves your four questions as follows: (a) CMT, matched to the end of the Yield Maintenance Period, interpolated; (b) discount rate is the Treasury Rate alone, and the 50 basis points is applied to the comparison stream; (c) the premium is the greater of the 1% floor and the computed amount; (d) the computed amount floors at zero but the 1% floor applies regardless. **Two items still need the client:** first, confirm the interpretation of the 50 basis points (we apply it in the comparison stream, consistent with the Term Sheet's text, rather than adding it to the Note rate as you suggested as an alternative reading); second, confirm whether the Bank wants a different interpolation convention (e.g. matched to the remaining loan term rather than to the end of the Yield Maintenance Period). **Enforceability:** the formula is deterministic and objectively calculable, which is the protection against a penalty characterization; I have also avoided any subjective inputs.

7.2 Prepayment during the lockout period — a gap in the Term Sheet. Term Sheet §4.1 prohibits prepayment during months 1–24 and then says "any prepayment made in violation of this restriction shall be subject to a prepayment premium as described in Section 4.2." But §4.2's premium is defined only for prepayments made *during months 25–48*; there is no defined premium for a lockout-period prepayment. Section 13.1 of the Draft Mortgage resolves this by (a) making the prohibition absolute and permitting Lender to refuse any tender, and (b) providing that if Lender elects to accept a tender, the Yield Maintenance Premium is computed as though the prepayment had been made on the first day of the Yield Maintenance Period, plus all other amounts due. That is a drafting solution to an ambiguity, and it should be confirmed. Also confirm that a voluntary prepayment during the lockout period is intended to be an Event of Default (the Draft Mortgage does not make it one; it treats the tender as refusable and, if accepted, premium-bearing).

7.3 Casualty and condemnation. The Term Sheet is silent on (a) the thresholds above which the Bank controls insurance proceeds, (b) whether proceeds are applied to the Loan or released for restoration, and (c) whether any prepayment premium applies to an involuntary prepayment. You asked me to confirm the casualty/condemnation carve-out with the client. The Draft Mortgage (Article 15) provides: Lender participation in adjusting claims over $250,000; Borrower restoration permitted where the loss is under $500,000, no default exists and proceeds are sufficient; otherwise Lender's election between restoration (on conditions) and application to the Loan; application **at par** with no premium, penalty or yield maintenance (§13.5, §15.5); and coordination with the LUR where restoration affects the Bay 1 slab (§15.4(d)). The $250,000/$500,000/12-month thresholds are our proposed figures, not deal terms (Section 10). Confirm with Marcus: (i) whether the Bank wants a premium on involuntary prepayments (you noted this is the minority position), and (ii) the thresholds.

7.4 The DSCR test date — a three-way conflict.

Source	First test	Mechanics
Term Sheet §7.1	The first full calendar quarter ending after the 24th month — i.e. the quarter ending June 30, 2027, tested by July 15, 2027	Then quarterly
Your markup notes §6 (Financial Covenants)	"first test date April 15, 2027"	—
Rent Roll, Summary tab ("DSCR Covenant Testing Commencement")	"April 15, 2027 (Month 24 post-closing)"	—

The Term Sheet is the controlling document and is internally coherent: a quarterly test measured on trailing twelve-month NOI must be measured at a quarter end, and April 15, 2027 is not a quarter end. The Draft Mortgage follows the Term Sheet (Section 12.1(a): the calendar quarter ending June 30, 2027, and quarterly thereafter) and defines Net Operating Income and Annual Debt Service on a trailing-twelve-month and forward-looking basis respectively (Section 1.1(aa) and (b)). Flag: the first test will measure a trailing twelve-month period ending June 30, 2027, of which the first two and a half months are within the interest-only period and the last three within amortization — the definition of Annual Debt Service therefore drives the result. The Draft Mortgage uses the forward-looking definition (25-year amortization at the then-current rate), which is the more conservative formulation. Confirm with Marcus both the test date and the definition, because together they determine whether the covenant is measured at 0.55x or 0.72x.

7.5 Net worth and liquidity — whose covenant? Term Sheet §7.2 states that "**Borrower** shall maintain … a net worth of not less than $1,000,000 … and liquid assets … of not less than $500,000," tested annually under §7.3. Your notes describe these as Guarantor covenants. The Draft Mortgage implements the Term Sheet text as a Borrower covenant (§12.2(a)) and adds the equivalent covenant at the Guarantor level (§12.2(b)), which is what your notes assumed and is the commercially meaningful test — a $1,000,000 net worth covenant measured against a borrower that owns an $18,200,000 property is not a constraint. Section 12.2(b) is an addition (Section 10). Confirm with Marcus whether the Bank wants: (i) the Term Sheet formulation only; (ii) both levels; or (iii) a Guarantor covenant at a materially higher threshold (Guarantor's stated net worth is approximately $28,000,000 per Term Sheet §1.3, although no personal financial statement is in the file).

7.6 Default mechanics — two gaps and one sequencing problem.

> **(a) Late charge versus payment default.** Term Sheet §3.11 assesses a 5% late charge on any monthly installment not received within ten **calendar** days of the due date; Term Sheet §11.2(a) gives a cure period of five **business** days for payment defaults. The default therefore occurs before the late charge is triggered. The Draft Mortgage preserves both mechanisms independently: the late charge accrues under §2.6 whether or not a default has occurred and whether or not notice has been given, and the payment default arises under §14.2(a) after five business days, expressly without affecting the late charge or default interest. This is the correct commercial result but should be confirmed as intentional.

(b) Insurance defaults have no cure period. Term Sheet §11.1(f) makes a failure to maintain insurance an Event of Default. Term Sheet §11.2(b) excludes "insurance defaults" from the 30-day non-monetary cure period, and §11.2(c) gives no cure period only for SPE and transfer defaults. The result is a gap: insurance defaults fall outside every stated cure category. The Draft Mortgage supplies a ten-day cure period after written notice (§14.2(d)) — a drafting solution, flagged in Section 10.

(c) Land use restriction defaults. Neither the Term Sheet nor the commitment specifies the cure mechanics for an LUR breach. The Draft Mortgage provides ten business days after notice, and immediate default where SCDHEC has issued a notice of violation or order or the breach is not curable (§14.2(e)). This implements Title Closer's Note 1 while preserving a short cure window.

7.7 Interest computation — three terms the Term Sheet leaves open. The Term Sheet defines "Daily SOFR" (rate published on the applicable business day, or the preceding business day if not published) and imposes a 3.00% floor, but says nothing about (i) the day-count convention, (ii) whether interest for a monthly period is computed on the Daily SOFR in effect on a single day or compounded daily in arrears, or (iii) any requirement for an interest rate cap. Section 2.2 of the Draft Mortgage adopts **actual/360**, a monthly period rate based on Daily SOFR as determined for the applicable Business Day, and no cap requirement. Actual/360 rather than actual/365 adds approximately 1.4% to the effective annual yield on a 5.85% rate. Because the Loan cannot service at the floor rate (Section 4.1), the floating-rate exposure is material: each 100 basis point increase raises annual interest by $147,500, and the term sheet contains no cap, no cap purchase covenant and no rate-lock alternative. **Recommendation:** confirm the day count and compounding convention with Marcus (and conform the Note and the borrower disclosure), and consider requiring a capped or hedged rate at least until the DSCR test date.

7.8 Guaranty set and characterization.

Facts. Term Sheet §5.5 is headed "Guaranty" and opens by describing a "**full recourse personal guaranty**," then describes (a) a non-recourse carve-out guaranty, (b) a completion guaranty, and (c) a payment guaranty limited to interest shortfalls during the first fourteen months. Term Sheet §14.3(e) lists a single "Guaranty Agreement" among the closing documents, and §5.4 requires a separate Environmental Indemnity Agreement executed by Borrower and Guarantor.

Issues. (i) The "full recourse" description is inconsistent with the non-recourse structure in §5.5(a) and with the limitation of liability the Bank's own structure implies; (ii) the document list does not match the number of guaranties described; (iii) the Interest Shortfall Guaranty's fourteen-month period ends June 15, 2026, exactly the Substantial Completion Deadline, and there is then no credit support between June 2026 and the first DSCR test at the end of June 2027 — the precise period in which the Vacancy Schedule projects the greatest shortfall.

Draft. Article 16 treats the Guaranty as three instruments plus the Environmental Indemnity Agreement, cross-references each by name, limits Borrower's and the Members' liability to the Collateral except for the carve-outs (§16.2), sets out the Carve-Out Events (§16.3), preserves the full recourse character of the environmental obligations (§16.4), and describes the Interest Shortfall Guaranty's scope without reducing Borrower's payment obligations (§16.6). The Draft Mortgage does **not** characterise the Guaranty as a full repayment guaranty, because on the Term Sheet's terms it is not. **Action:** confirm with Marcus whether the Bank intends one combined Guaranty Agreement or three separate instruments, and conform the closing checklist and the §14.3 document list. Consider also extending the Interest Shortfall Guaranty to the first DSCR test date.

8. RENOVATION AND CONSTRUCTION ISSUES

8.1 The draw schedule ignores the 10% retainage (high). Term Sheet §8.4 requires Lender to "retain ten percent (10%) retainage from each disbursement from the Renovation Holdback until substantial completion," released on receipt of satisfactory evidence of substantial completion, final lien waivers and a final title date-down endorsement. The Draw Schedule does not reflect any retention: cumulative lender draws reach the full $2,250,000 in month 14 (Draw Schedule, column R, row 15). If a 10% retainage were applied, cumulative lender disbursements at the point of substantial completion should be $2,025,000, with $225,000 held back for release after completion, final lien waivers and the final date-down.

Why it matters. (i) The Draw Schedule cannot be used as the disbursement benchmark unless it is corrected; (ii) the schedule's month 14 disbursement falls exactly on the Substantial Completion Deadline of June 15, 2026, so on its own timeline the holdback is exhausted on the last permissible day with no room for punch list, and no retention remains to secure completion; (iii) the draw conditions in the Draft Mortgage (Section 8.6, retainage; Section 8.15, release only on final waivers, final date-down and certificate of occupancy) follow the Term Sheet and therefore do **not** match the Draw Schedule. **Action:** return the Draw Schedule to Borrower for conforming; the $225,000 retention is also the only realistic leverage for punch list completion given that the Completion Guaranty is a credit backstop rather than an operational one.

8.2 Equity funding timing and a $5,000 arithmetic overrun.

Facts. Three statements of the Borrower's equity obligation are in the record, and they do not agree:

Source	Requirement
Term Sheet §3.4	Borrower Equity Contribution of $6,200,000, approximately 29.6% of Total Project Cost
Term Sheet §12.1(m)	Receipt by Lender of Borrower's equity contribution of $6,200,000, or satisfactory evidence of the funding thereof, **on or prior to the date of closing**
Renovation Budget, Budget Detail row 9	Borrower Equity Allocation for renovation = $900,000 (28.57% of the $3,150,000 budget)

Source	Requirement
Draw Schedule, column S and row 15	Borrower equity deployed monthly over 14 months, totaling **$905,000**, leaving a negative remaining commitment of **−$5,000** at month 14 (column V, row 15)
Draw Schedule, column Q and row 16	Total combined draws **$3,155,000** against a Renovation Budget of $3,150,000

Recomputation. The Draw Schedule's monthly Borrower equity column sums to $905,000 ($75,000 + $90,000 + $100,000 + $90,000 + $85,000 + $100,000 + $60,000 + $70,000 + $70,000 + $70,000 + $40,000 + $30,000 + $10,000 + $15,000), and combined draws sum to $3,155,000. Both exceed the committed amounts by $5,000. The schedule is arithmetically inconsistent with the Budget Detail and with Term Sheet §12.1(m). In addition, the timing conflict is real: if the entire $6,200,000 is funded at closing as §12.1(m) requires, the renovation equity sits in Borrower's account while Lender disburses the holdback, which defeats the "equity first" logic the Draw Schedule assumes; if instead the renovation equity is drawn over fourteen months, the closing condition in §12.1(m) is not satisfied.

Draft. Section 8.3 requires Borrower to fund the Renovation Equity and imposes a proportional funding test — aggregate disbursements from the Renovation Holdback may not exceed 71.43% of aggregate Renovation Costs incurred and certified (being $2,250,000 ÷ $3,150,000) — which implements the equity-first economics of the Draw Schedule without requiring the full $6,200,000 to be spent at closing. **Action:** decide with Marcus which construction the Bank wants: (i) full equity deposit at closing with the renovation portion held in a Lender-controlled escrow and released against draws; (ii) the proportional test in the draft; or (iii) a standby letter of credit for the renovation equity. The chosen construction should be reflected in §12.1(m) of the closing conditions, and the $5,000 overrun should be corrected in the budget.

8.3 The TI/LC Reserve is not reflected in the budget or the sources and uses.

Facts. Term Sheet §6.3 requires a $150,000 TI/leasing commission reserve to be deposited at closing, disbursed only for tenant improvements and leasing commissions on vacant space, and replenished to $150,000 from Borrower's own funds within 30 days of demand. The Renovation Budget separately contains a "Tenant Improvement Allowances" line of $550,000 (Budget Detail line 4), of which $450,000 is allocated to the Renovation Holdback and $100,000 to Borrower equity. The Vacancy Schedule models TI costs of $95,000 (Bay 2, at $25/SF) and $215,600 (Suite B, at $22/SF), totaling $310,600, plus leasing commissions of $28,500 and $61,250, totaling $89,750 — and, in the worst case, a further $76,000 of TI and $28,500 of commissions if Harmon & Wren does not renew Bay 3.

Recomputation and observations. The budgeted TI allowance is $40.44/SF blended ($550,000 ÷ 13,600 SF of vacant/at-risk space); the modeled TI need is $22.84/SF ($310,600 ÷ 13,600 SF), or $28.43/SF in the Bay 3 non-renewal case. Three separate pools ($450,000 holdback allocation, $100,000 borrower equity, $150,000 TI/LC Reserve) are therefore available against a modeled need of $310,600–$504,850 including commissions. The TI/LC Reserve is not included in

the Total Project Cost, the Budget Detail or the Draw Schedule, so there is a genuine risk of either double funding the same tenant improvements or leaving the reserve unfunded at closing (see Section 4.4). **Draft:** Article 10 implements the reserve with the replenishment covenant (§10.3) and confines its use to TI and leasing commissions; Article 8 permits TI draws from the holdback against the budget line (§8.2, §8.4). **Action:** obtain a written disbursement priority from Borrower (holdback TI line first, then the reserve) and confirm whether the $550,000 TI line should be reduced to reflect the reserve, which would also reduce the holdback need.

8.4 The Draw Schedule and the Vacancy Schedule contradict each other on Suite B.

Item	Draw Schedule	Vacancy Schedule
Suite B marketing start	Not stated; assumes lease executed month 9 (January 2026) (Draw Schedule column X, row 10: "TI — 2nd Floor Suite B lease executed, build-out commences")	July 2026 (post-substantial completion)
Suite B lease execution	Month 9 — January 2026	November 2026
Suite B rent commencement	Implied month 10–11 (February–March 2026)	February 1, 2027 (21.5 months post-closing)
Suite B TI completion	Month 13–14 (May–June 2026)	Not modeled within the renovation period

These cannot both be right. The Vacancy Schedule's narrative is the more plausible one, because Suite B is a 9,800 SF second-floor office suite that cannot be shown while HVAC, elevator and common-area work is under way — the schedule itself says "Lease-up cannot meaningfully commence until renovation substantially complete." If the Vacancy Schedule is correct, then (i) the $450,000 lender TI allocation and $61,250 commission fall outside the fourteen-month renovation period, (ii) the final draws in months 13–14 cannot be funded on the stated schedule, and (iii) the $225,000 retention question in §8.1 becomes an accounting exercise because the holdback will not be fully drawn by substantial completion. Note also that the Vacancy Schedule flags only 2.5 months between the projected Suite B rent commencement (February 1, 2027) and the DSCR test (April 15, 2027, or the quarter ending June 30, 2027) and labels the timeline "AGGRESSIVE." **Action:** require Borrower to reconcile the two schedules and to produce a single integrated renovation and lease-up schedule; the Draft Mortgage's draw conditions do not depend on the schedule, but the Bank's monitoring will.

8.5 Mechanics' liens, date-downs and future-advance priority. South Carolina mechanics' liens attach in favor of those who furnish labor or materials, and a recorded mortgage has priority over liens for work commenced afterwards. The protections are therefore procedural: record the Mortgage before any work begins; obtain a pre-closing date-down and owner's affidavit to delete the standard exceptions (Requirements 9–12); require the date-down at every draw; require conditional and unconditional lien waivers (subcontractors over $25,000); and retain 10%. The Draft Mortgage implements each of these (§3.8, §8.4(b)(iii), §8.5(f),

§8.10), together with the future-advance clause and maximum principal amount (§3.4) and the representation that no work has been performed that could give rise to a lien (§5.13). **Action:** confirm at closing that no work has commenced at the Property (the Draw Schedule contemplates "mobilization, permits, architectural/engineering fees" in month 1 and an elevator equipment order deposit, which should be confirmed as not constituting work at the Property), and confirm that the future advance endorsement is issued.

8.6 Change orders, Board of Architectural Review approvals and the GC Contract. The GC Contract is not in the file, although Term Sheet §12.1(l) and §8.1 make delivery of the executed contract (with all schedules, exhibits and amendments) a condition precedent. The Renovation Budget states that the $625,000 façade restoration is "subject to Board of Architectural Review oversight" and includes balcony repair; no BAR approval is in the record. The Draft Mortgage therefore (i) requires Lender consent for any "Major Change" — a defined term covering changes that increase the contract sum or budget, reduce scope, affect structural, mechanical, electrical, plumbing, fire protection, elevator or façade systems, affect the Bay 1 slab, or delay substantial completion (§8.8); (ii) requires the General Contractor and architect to deliver a consent to the collateral assignment of the GC Contract and Plans (§8.8); (iii) requires all permits and BAR approvals (§8.7); and (iv) reserves lender consent for amendments to the Plans that constitute a Major Change (§8.7). Neither the Term Sheet nor the record addresses liquidated damages or a guaranteed maximum price beyond the contract sum; if the Bank wants a GMP representation or a cost-overrun guaranty, it must come from the Completion Guaranty (which covers completion within budget) or be added. **Action:** obtain the GC Contract and BAR approvals; confirm the Completion Guaranty's "within the Renovation Budget" language.

9. FIGURE RECONCILIATION SUMMARY

Every figure used in the Draft Mortgage was recomputed from source components. The table records each recomputation and its disposition.

#	Item	Source figure	Recomputed	Disposition
1	Loan amount	$14,750,000 (Term Sheet §3.1)	$14,750,000	Agreed; Draft Mortgage §2.1
2	Initial Advance / Renovation Holdback	$12,500,000 / $2,250,000 (Term Sheet §3.3)	Sum $14,750,000	Agreed; §1.1(t), §1.1(jj)
3	Total Project Cost	$20,950,000 (Term Sheet §3.4)	$17,800,000 + $3,150,000 = $20,950,000	Arithmetic correct; omits closing costs (§4.4)
4	Borrower equity %	29.6% (Term Sheet §3.4)	$6,200,000 ÷ $20,950,000 = 29.59%	Correct as against the defined total only
5	Loan-to-value, as-is	81% / 81.04%	81.04%	Arithmetic correct; value unreliable (§4.2)
6	Loan-to-value, as-stabilized	62.77%	62.77%	Arithmetic correct
7	Loan-to-cost	70.41%	70.41%	Arithmetic correct
8	Loan-to-purchase-price	Not stated	82.87%	Disclosed in this

#	Item	Source figure	Recomputed	Disposition
				memorandum
9	Occupied area	21,400 SF (Term Sheet §2.3; Appraisal §1)	17,400 SF	**Source error**; Exhibit B uses 17,400
10	Occupancy	68%	56.13% (17,400 ÷ 31,000)	**Source error**; 68% + 43.9% = 111.9%
11	Total in-place annual rent	$415,100	$415,100 at lease-stated rents; $422,985 at escalated rents	Disclosure in Exhibit B Note 10
12	Weighted average rent	$19.40/SF (Appraisal §3.1)	$23.86/SF (÷ 17,400 SF)	Appraisal used the erroneous area
13	Bay 1 rent from January 1, 2025	$28.50/SF (all documents)	$29.36/SF = $111,549 per annum	Conflict disclosed; Borrower to certify
14	Bay 3 rent from July 1, 2024	$24.00/SF (all documents)	$25.22/SF = $95,836 per annum	Conflict disclosed; Borrower to certify
15	Security deposits held	$69,183 (Rent Roll)	$18,050 + $15,200 + $35,933 = $69,183	Agreed; Exhibit B Note 7
16	Annual interest, interest-only period	$863,375 (Rent Roll)	$14,750,000 × 5.85% = $862,875	**$500 error** in the rent roll
17	Monthly payment, 25-year amortization at 5.85%	$93,500 (Rent Roll)	$93,686.61	Understated in the rent roll
18	Annual debt service, post-IO	$1,122,000 (Rent Roll)	$1,124,239	Understated by $2,239
19	Stabilized NOI	$622,772 (Rent Roll)	$755,549 − $37,777 − $95,000 = $622,772	Arithmetic correct
20	DSCR	0.555x / 0.72x (Rent Roll)	0.55x / 0.72x	Correct; covenant 1.25x cannot be met (§4.1)
21	Debt yield	Not stated	4.22%	Disclosed
22	Appraisal implied capitalization rates	6.25% / 5.85% selected	1.86% / 2.52% on stated NOI	**Irreconcilable** (§4.2)
23	Renovation Budget line items	$3,150,000 (Term Sheet §3.4)	$1,200,000 + $475,000 + $625,000 + $550,000 + $300,000 = $3,150,000	Agreed; Exhibit D
24	GC contract sum as % of budget	Not stated	$2,850,000 ÷ $3,150,000 = 90.48%	Disclosed in Exhibit D
25	Renovation Holdback as % of budget	Not stated	$2,250,000 ÷ $3,150,000 = 71.43%	Draft Mortgage §8.3 test
26	Draw Schedule totals	$3,150,000 budget	$3,155,000 combined draws; equity $905,000 vs $900,000 committed	**$5,000 overrun** (§8.2)
27	Retainage at substantial completion	10% (Term Sheet §8.4)	$225,000 should be held; Draw Schedule holds	**Schedule inconsistent** (§8.1)

#	Item	Source figure	Recomputed	Disposition
			nothing	
28	TI allowance per SF	Not stated	Budget $40.44/SF; modeled need $22.84/SF	Reconciliation required (§8.3)
29	Origination fee	$147,500 (Term Sheet §13.1)	1.00% × $14,750,000 = $147,500	Agreed
30	Mortgage recording tax	$54,575 (markup notes)	0.37% × $14,750,000 = $54,575	Agreed; confirm with title agent
31	Capital replacement reserve	$645.83 monthly (Term Sheet §6.2)	$0.25 × 31,000 = $7,750 ÷ 12 = $645.833	Agreed; Draft Mortgage §10.2
32	Maturity Date	April 15, 2030 (Term Sheet §3.8)	Fifth anniversary of April 15, 2025	Agreed; §1.1(z)
33	Interest-only period end	April 15, 2027 (Term Sheet §3.9)	Month 24	Agreed; §2.4
34	Yield Maintenance Period end	Month 48 (Term Sheet §4.2)	April 15, 2029	Agreed; §1.1(ss)
35	Substantial Completion Deadline	June 15, 2026 (Term Sheet §8.3)	Fourteen months after April 15, 2025	Agreed; §1.1(pp)
36	Interest shortfall guaranty period	14 months (Term Sheet §5.5(c))	Through June 15, 2026	Agreed; §16.6; coincides with substantial completion
37	Survey recertification deadline	90 days before closing (Requirement 9)	January 15, 2025 + 90 days = April 15, 2025	**Exactly the closing date** (§5.5(b))
38	DSCR first test date	Quarter ending June 30, 2027 (Term Sheet §7.1) vs. April 15, 2027	Quarter ending June 30, 2027	Conflict resolved in favor of Term Sheet (§7.4)

10. DRAFTING DECISIONS AND PROVISIONS ADDED BEYOND THE TERM SHEET

Term Sheet §14.4 permits Lender to require additional provisions in the Loan Documents that are consistent with customary documentation requirements and applicable law, provided they are not materially inconsistent with the Term Sheet. The following provisions in the Draft Mortgage go beyond the Term Sheet or resolve gaps in it. Each requires the client’s approval, and each should be disclosed in the transmittal to borrower’s counsel rather than left for them to discover.

#	Provision	Draft location	Why added	Action
1	Indirect and upstream change-of-control restriction (including GDG, Guarantor and replacement of the Independent Manager)	§7.3(c)	Operating Agreement captures only direct transfers; Term Sheet §10.3 addresses only interests in Borrower	Bank approval; may be negotiated
2	DSCR cure right (deposit applied to principal, twice in the term, once per four quarters, no prepayment	§12.6	Term Sheet §11.1(i) says “without cure” but supplies no cure mechanic	Bank approval

#	Provision	Draft location	Why added	Action
	premium)			
3	DSCR cure payments and prepayments upon acceleration remain subject to the Yield Maintenance Premium	§13.6	Term Sheet silent; standard for floating-rate yield maintenance loans	Bank approval
4	Lockout-period prepayment: absolute prohibition, tender reusable, premium computed as if prepayment occurred on the first day of the Yield Maintenance Period	§13.1	Term Sheet §4.1 refers to §4.2 for a premium that §4.2 does not define for months 1–24	Bank approval
5	Casualty/condemnation thresholds ($250,000 claim adjustment control; $500,000 restoration election; 12-month restoration period)	Art. 15	Term Sheet silent	Bank approval
6	Insurance default cure period of 10 days after notice	§14.2(d)	Term Sheet §11.2 excludes insurance defaults from every stated cure category	Bank approval
7	LUR default cure period of 10 business days, immediate default on SCDHEC enforcement action or incurable breach	§14.2(e)	Commitment Closer's Note 1 requires a default trigger; Term Sheet has no cure mechanic	Bank approval
8	Monthly cap replacement reserve of $645.83 plus annual financial covenant at Guarantor level	§10.2; §12.2(b)	§10.2 is per Term Sheet §6.2; §12.2(b) reflects the Guarantor-level covenant assumed in your notes	Confirm covenant level (§7.5)
9	Proportional renovation equity funding test (71.43%)	§8.3	Draw Schedule assumes equity-first funding; Term Sheet requires all equity at closing	Confirm construction (§8.2)
10	Change order consent regime (defined "Major Change")	§8.8	Term Sheet is silent on change orders	Bank approval
11	Management agreement consent and termination-on-foreclosure right	§6.13	Term Sheet silent; no management agreement in the record	Bank approval
12	No distributions during a default or below the financial covenants	§7.11	Term Sheet silent	Bank approval
13	Additional recourse carve-outs (failure to maintain insurance; junior lien creation; SPE breach causing substantive consolidation; Borrower's assertion of unenforceability)	§16.3(f)–(i)	Term Sheet §5.5(a) lists five carve-outs "without limitation"	Bank approval; expands recourse
14	Restriction on grants of easements, dedications and restrictive covenants	§7.8	Term Sheet silent	Bank approval
15	Actual/360 day count; monthly period rate based on Daily SOFR; no rate cap	§2.2	Term Sheet silent on all three	Confirm (§7.7)
16	Conclusive-calculation clause and interim-method	§2.2, §13.2	Customary; protects against rate	Bank approval

#	Provision	Draft location	Why added	Action
	replacement mechanics for Daily SOFR		discontinuation	
17	Lender's right to require additional reserves as a condition to any consent or amendment	§10.5	Customary	Bank approval
18	Borrower's expense in lender-required annual appraisal/assessments; lender audit rights	§6.8, §12.5	Term Sheet §13.2 provides for expenses generally	Bank approval

11. OPEN ITEMS, MISSING DOCUMENTS AND INFORMATION REQUESTS

11.1 Documents and information required before the Draft Mortgage is circulated or executed. Each item is assigned to the party best placed to obtain it.

#	Item	From	Needed for	Consequence if not obtained
1	Corrected appraisal or written reconciliation of the income approach to the concluded values; independent review appraisal	Pinnacle Valuation Services / Bank credit	Term Sheet §12.1(d); as-is LTV	Closing condition unsatisfied; covenant architecture undermined
2	Written loan committee approval or documented credit exception for loan size, LTV and DSCR	Marcus Prideaux	Credit documentation	Unauthorized credit risk; audit exception
3	ALTA/NSPS survey (Cartwright Land Surveying LLC, January 15, 2025), certified to Lender, Borrower and the title insurer, and re-certified if closing slips	Borrower	Requirement 9; Exhibit A; standard exception deletion	No metes and bounds for Exhibit A; exceptions remain
4	Written confirmation from Prestige Title of the form, premium and limits of affirmative coverage on the Anson Lane strip, and any endorsement limiting the amount of insurance as to the strip	Prestige Title & Settlement Services LLC	§5.1	Gap in collateral
5	Executed GC Contract and all schedules, exhibits and amendments; GC and architect consent to collateral assignment	Borrower	Term Sheet §12.1(l); §8.8	Holdback cannot be administered
6	Member written consents (GDG plus at least one Passive Member; recommend all three) and incumbency certificates	Borrower	§6.1; Requirement 8	Mortgage not duly authorized
7	Executed Operating Agreement Amendment signed by all three Members	Borrower (GDG, Tidewater, Harborline)	§6.2; Term Sheet §10.1(g)	SPE representations untrue; bankruptcy remoteness absent

#	Item	From	Needed for	Consequence if not obtained
8	Full unredacted Operating Agreement and the March 1, 2025 amendment	Borrower's counsel	§6.2	Cannot confirm SPE compliance or amendment thresholds
9	Tidewater GP Holdings LLC authority (LPA extracts or GP resolution)	Tidewater	§6.3(a)	Amendment and consents may not bind Tidewater
10	Harborline organizational documents, good standing and incumbency	Harborline	§6.3(b)	Consents may not bind Harborline
11	Tenant estoppel certificates and SNDAs from all three tenants (Lowcountry Provisions requires cooperation)	Borrower	Term Sheet §§2.3, 12.1(j)–(k)	Condition precedent unsatisfied
12	Evidence of City of Charleston encroachment license for the King Street balcony, or written statement that none is required	Borrower	§5.3	Uninsured encroachment; removal risk
13	Environmental Indemnity Agreement in form meeting Requirement 6 (vapor barrier, SCDHEC compliance)	Bank's counsel	§11.4	LUR allocation incomplete
14	Full Phase I ESA report and appendices; SCDHEC file and NFA letter; recorded LUR	Borrower / Clearfield	§11	Compliance obligations defined only from a summary
15	Guarantor personal financial statement and liquidity evidence; Guarantor's certified net worth	Guarantor	§12.3(b); §12.2(b)	Cannot verify $28,000,000 net worth
16	Updated sources and uses statement and evidence of additional equity for closing costs and the TI/LC Reserve	Borrower	§4.4	Funding shortfall at closing
17	Conformed rent roll certified as of the closing date (resolving the escalation conflict) and reconciled renovation/lease-up schedule	Borrower	Exhibit B; §5.4	Representation cannot be given
18	Revised Draw Schedule reflecting 10% retainage and removing the $5,000 overrun	Borrower	§8.1, §8.2	Draw mechanics inconsistent with the instrument
19	Insurance certificates and binders (including builder's risk and $5,000,000 flood), flood zone determination and the FEMA panel number (the appraisal says 45019C0418J effective November 4, 2014; the Phase I ESA says 45019C0520J effective December 4, 2020)	Borrower / insurance agent	Art. 9	Insurance condition unsatisfied
20	BAR approvals and building permits for the renovation	Borrower	§8.7	Construction may not lawfully proceed
21	Beneficial ownership certification, OFAC and CIP documentation for Borrower,	Borrower, Guarantor, Members	Bank BSA/AML policy (not a Term Sheet condition)	Cannot fund under Bank policy

#	Item	From	Needed for	Consequence if not obtained
	Guarantor and each Member			
22	Written approval of Exhibit C (Permitted Exceptions)	Marcus Prideaux	§1.1(cc)	Lien subject to unapproved exceptions

11.2 Decisions required from the Bank. (i) Loan sizing, DSCR covenant and cure architecture (Section 4.1); (ii) DSCR test date and the Net Operating Income / Annual Debt Service definitions (Section 7.4); (iii) whether the net worth/liquidity covenant runs to Borrower, Guarantor or both (Section 7.5); (iv) the 50 basis point yield maintenance interpretation and any alternative interpolation convention (Section 7.1); (v) whether involuntary prepayments bear a premium (Section 7.3); (vi) day count, SOFR convention and whether a rate cap or hedge is required (Section 7.7); (vii) whether non-disturbance will be offered to the existing tenants (Section 5.4(b)); (viii) the renovation equity funding construction (Section 8.2); (ix) each item in Section 10; and (x) whether the Interest Shortfall Guaranty should be extended to the first DSCR test date (Section 7.8).

12. BLANKS AND BRACKETED ITEMS IN THE DRAFT

The Draft Mortgage contains one substantive blank and a small number of intentional execution blanks. There are no other placeholders.

Location	Item	When to be completed
Exhibit A	Metes and bounds description of Parcels One and Two, to be inserted from the certified ALTA/NSPS survey	On receipt of the survey, before execution and recording
Signature page	Signature and date lines for Borrower (through GDG), Lender and Guarantor	At execution
Notary acknowledgment	Notary name, identification, date and commission expiry	At execution
Exhibit E, Exhibit F	Draw request number, dates and amounts; certification period and inspection date	On each use
Exhibit B	Certified rent roll as of the closing date (Note 10)	On Borrower’s certification before closing

Note on dates. Every period in the instrument is measured from the Closing Date: the Maturity Date (April 15, 2030), the end of the Interest-Only Period (April 15, 2027), the Yield Maintenance Period (through April 15, 2029), the Lockout Period (through April 15, 2027) and the Substantial Completion Deadline (June 15, 2026) are all defined by reference to the Closing Date and then stated as specific dates. If closing is delayed (the Term Sheet permits closing through May 15, 2025), each stated date must be conformed. The Term Sheet itself defines the Maturity Date as April 15, 2030 “based on the anticipated closing date,” which does not address the consequence of delay; the Draft Mortgage defines the Maturity Date as the fifth anniversary of the Closing Date and states the expected date, which resolves the ambiguity in the lender’s favor.

13. RECOMMENDED NEXT STEPS

Timing	Step	Owner
March 28, 2025	Internal partner review of the Draft Mortgage and this memorandum; approve or amend the Section 10 items	Kit Ashworth
March 28–31, 2025	Issue information requests in Section 11.1; open the Anson Lane coverage negotiation with Prestige Title	Jordan Vickers
April 1, 2025	Transmit the Draft Mortgage to Marcus Prideaux with a cover note identifying (a) the Section 10 additions, (b) the items requiring Bank decisions in Section 11.2, and (c) the four critical matters in Section 1.3	Kit Ashworth
April 1–4, 2025	Obtain credit approval or documented exception; obtain the corrected appraisal or a written reconciliation	Bank credit / Marcus Prideaux
April 4–11, 2025	Member consents and Operating Agreement Amendment; GC Contract; estoppels and SNDAs; survey recertification; conformed rent roll and Draw Schedule	Borrower’s counsel
April 11–14, 2025	Final partner review; conform Exhibit A and Exhibit B; confirm title endorsements, insurance and Permitted Exceptions; circulate execution versions	Jordan Vickers / Kit Ashworth
April 15, 2025	Closing and recording in the RMC Office for Charleston County; UCC-1 filing with the South Carolina Secretary of State; fixture filing; issue title policy with endorsements	All

14. LIMITATIONS

14.1 Basis. This memorandum is prepared on the record described in Section 2 and on the assumption that the documents provided are genuine, complete and in full force and effect. It is not an opinion on title (we have not examined the public records ourselves; the title analysis is based on the commitment), on the environmental condition of the Property, on the value of the Property, or on any matter of Georgia or federal banking law other than as noted. It is prepared for the Bank and its counsel in connection with the Loan and may not be relied upon by any other person.

14.2 Statutory verification outstanding. The following legal propositions used in the Draft Mortgage or this memorandum should be confirmed in the research file before execution: (a) the citation and requirements of the South Carolina Uniform Assignment of Rents Act (referred to in the Draft Mortgage by name and by Title 29, Chapter 3 rather than by section); (b) the absence of any non-judicial power of sale in South Carolina and the procedural requirements for judicial foreclosure in Charleston County, including any applicable notice, appraisal and deficiency provisions; (c) the enforceability of the jury trial waiver in Section 17.9 as a pre-dispute waiver in a commercial real estate transaction in South Carolina; (d) the standard for appointment of a receiver “as a matter of right” and whether notice is required; (e) the treatment of the 5% late charge and the Default Rate (Note rate plus 5.00%) under South Carolina’s interest and usury provisions,

including the maximum lawful rate applicable to a loan of this size; and (f) the computation of South Carolina mortgage recording tax on a mortgage securing future advances.

14.3 Estimates. The closing cost shortfall in Section 4.4 (approximately $450,000–$600,000), the casualty and condemnation thresholds in Section 10 items 5, and the ten-foot Bay 1 slab work radius in Section 5.2 are our estimates or proposed figures, not figures or terms drawn from the record, and are labeled as such.

14.4 No waiver. Nothing in this memorandum constitutes a waiver of any right of the Bank or of this firm, and the transmission of the Draft Mortgage to borrower’s counsel should be accompanied by a clear statement of the open items in Sections 10 and 11.

Respectfully submitted,

Jordan Vickers

Associate

Fielding, Ashworth & Cole LLP

cc: Catherine Ashworth, Partner; File

APPENDIX A — RESPONSE TO THE MARKUP NOTES OF MARCH 18, 2025

This appendix records, by instruction, where each item in your markup notes has been implemented in the Draft Mortgage or, where it has not been implemented as instructed, why and what remains outstanding. Article and section references are to the Draft Mortgage unless stated otherwise.

Ref	Instruction	Implementation	Status / open item
§1	Customize recitals with full legal names, filing numbers, principal offices and loan amount	Recitals A–D; identification paragraph	Done
§1	Define “Initial Advance” and “Renovation Holdback” separately and cross-refer the disbursement conditions	§1.1(t), §1.1(jj); Article 8	Done
§1	Reference each Loan Document by name in the recitals	Recital D; §1.1(x)	Done; note the guaranty-set inconsistency (Section 7.8)
§1	Incorporate the assignment of leases and rents into the mortgage rather than a separate instrument	Article 4 (absolute assignment)	Done
§1	Define “Property” to include all three tax parcels and the Anson Lane strip	§1.1(gg); §3.1(a); Exhibit A	Done; Exhibit A metes and bounds outstanding
§1	Define “Loan Documents” to cross-reference the GC Contract, the Renovation Budget and the reserve agreements	§1.1(x)	Done
§1	Define “Guarantor” and “Maturity Date”	§1.1(uu); §1.1(z)	Done
§2	Use the legal description from Commitment No. PT-2025-04-1178	Exhibit A (both parcels, with plat and deed references)	Done, subject to survey
§2	Confirm three points on the Anson Lane chain of title and flag for Prestige Title	Section 5.1 above; Draft §5.3	Closed on the face of the commitment; affirmative coverage outstanding (item 11.1(4))
§2	Granting clause to convey fee simple with improvements, fixtures, systems and appurtenances; “together with” rents and other collateral; all three tax map numbers	§3.1(a)–(k); §3.2	Done
§2	Legal description in Exhibit A referenced by incorporation; require metes and bounds from the surveyor	Exhibit A; memo Section 5.5(a)	Blank to be completed from the certified survey
§3	Absolute, present assignment (not collateral); remove “additional security” characterisation	§4.1	Done
§3	Lowcountry Provisions: (a) representation of authority to assign; (b) estoppel as a condition precedent; (c) post-closing	§5.4 (representation); §6.7(c) (condition to the Initial Advance); §4.4 (commercially reasonable efforts	Done as drafted; the tenant’s cooperation cannot be compelled (Section 5.4(a))

Ref	Instruction	Implementation	Status / open item
	covenant to obtain an assignment-consent amendment	amendment)	
§3	Estoppels from Harmon & Wren and Tidemark	§4.4; §6.7(c); Exhibit B, Note 6	Done
§3	Revocable licence to collect rents; collection on default without court order or receiver; receiver provisions	§4.2; §4.3; §14.5	Done
§4	SPE covenants: independent manager, separateness, single-purpose purpose, member consent	§6.12; §7.6(b)–(c)	Done as covenants binding Borrower directly; Operating Agreement Amendment outstanding
§4	Draft SPE representations as though the Operating Agreement already complies AND prepare an Operating Agreement Amendment AND make it a closing condition signed by all three Members AND prohibit amendment without Lender consent	§5.10 (representation, qualified by the amendment); §7.6(b) (definition and required contents, express acknowledgment that the agreement did not previously comply); §7.6(a) (no amendment without consent)	**Deviation flagged:** the representation is made as to the agreement *as amended*, because a representation that the current agreement complies would be knowingly false (Section 6.2). Form of amendment and member consents outstanding
§4	Confirm Tidewater GP Holdings LLC authority to bind Tidewater	Memo Section 6.3(a)	Open item 11.1(9)
§5	Lockout, yield maintenance and open prepayment periods implemented with precise dates	§1.1(ss), §1.1(tt), §13.1–§13.3	Done
§5	Self-contained, deterministic yield maintenance formula resolving the four open questions	§13.2; “Treasury Rate” at §1.1(qq); memo Section 7.1	Done; 50 basis point interpretation and interpolation convention to be confirmed
§5	Confirm the 50 basis point treatment and the casualty/condemnation carve-out	Memo Sections 7.1 and 7.3; §13.5; Article 15	Bank confirmation required
§6	UCC Article 9 collateral: personal property, fixtures (fixture filing), equipment, accounts, general intangibles, proceeds, permits, contracts, reserves; debtor/secured party identification; collateral matching the mortgage	§3.1; §3.3 (fixture filing); §3.5 (debtor name, entity, numbers); §3.8 (record and file); §1.1(x)	Done; UCC-1 to be filed at closing with the South Carolina Secretary of State
§6	Renovation disbursements: ten business days’ notice, architect certification, lien waivers, title date-down, 10% retainage, substantial completion deadline, completion guaranty cross-reference	§8.4 (notice and documents); §8.5 (conditions); §8.6 (retainage); §8.11 (deadline); §8.16 (Completion Guaranty)	Done; the Draw Schedule does not reflect retainage (memo Section 8.1)
§6	Insurance covenants updated, including builder’s risk during construction	Article 9 (§9.1–§9.10)	Done; flood panel number conflict flagged (item 11.1(19))
§6	Financial covenants and reporting per the Term Sheet	§12.1 (DSCR), §12.2 (net worth and liquidity), §12.3 (reporting)	Done; DSCR unachievable (Section 4.1); covenant level to

Ref	Instruction	Implementation	Status / open item
			be confirmed (Section 7.5)
§6	Default and remedies: South Carolina judicial foreclosure, no power of sale, cross-defaults, default rate, late charge	§14.4 (judicial foreclosure; no power of sale); §14.1 (events of default); §2.5 (Default Rate); §2.6 (late charge)	Done
§6	Governing law, venue, recording, documentary stamp tax	§17.7, §17.8, §3.8, §3.9; memo Section 9 (row 30)	Done; recording tax computation to be confirmed with the title agent
§6	Environmental covenant package reflecting the standard template and the Environmental Indemnity Agreement	Article 11; §8.13; §14.1(l); §14.2(e)	Done; confirm the Environmental Indemnity Agreement meets Requirement 6
Closing	Priorities: restructuring the assignment of rents, the SPE/Operating Agreement issue, and the yield maintenance formula	Sections 5.4, 6.2 and 7.1 above; Articles 4, 7 and 13 of the Draft Mortgage	Addressed
Closing	Confirm the Anson Lane chain of title with Prestige Title early	Section 5.1 above; item 11.1(4)	Open
Closing	Coordinate with Marcus on loan committee approval of exceptions to underwriting guidelines (as-is LTV)	Sections 4.1, 4.2 and 11.2	Open item 11.1(2)